IFCI Limited

NSE: IFCI | BSE: 500106

Sector: Financial Services | Industry: Development Finance Institution | Government NBFC-DFI

Report Date: 15 May 2026

RATING	TARGET PRICE	UPSIDE / DOWNSIDE
REDUCE	**Rs. 45**	**-31% from CMP**
12-Month Horizon	Entry Zone: Rs. 40-48	Conviction: Medium

CMP (Rs.)	**65.1**	Market Cap	**Rs.17**
52W High/Low	**74.5 / 44.6**	Stock P/E	**95.0x**
Book Value	**Rs. 33.2**	P/B Ratio	**1.96x**
ROCE	**5.03%**	ROE	**2.09%**
Div. Yield	**0.00%**	Face Value	**Rs. 1**
FY26 EPS	**Rs. 0.67**	Promoter %	**70.32**

Investment Thesis: Government-backed NPA turnaround pivot to fee-based DFI model; priced for perfection at 95x P/E with negative CRAR — speculative upside, asymmetric downside.

COMPANY SNAPSHOT

IFCI Limited (formerly Industrial Finance Corporation of India) is India's oldest Development Finance Institution, established in 1948. It is a government-owned NBFC-DFI under the administrative control of the Department of Financial Services (DFS), Ministry of Finance, with GoI holding ~70.32% as of Dec 2025. Over FY16-FY22, IFCI suffered massive credit losses that eroded its net worth, breached RBI capital norms, and halted fresh lending. Since FY23, the company has been in a recovery mode, focusing on NPA resolution, government-backed fee income (PLI scheme PMA), and a DFS-mandated group consolidation.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	1,988	1,879	2,069	2,120	2,250
Financing Profit (Rs. Cr)	702	650	555	570	590
Financing Margin %	35%	35%	27%	27%	26%
PAT (Rs. Cr)	241	349	435	353	383
EPS (Rs.)	0.47	0.63	0.67	0.54	0.59
P/E (x) @ CMP Rs.65.1	138.5x	103.3x	97.2x*	120.5x	110.3x

**FY26A P/E = CMP Rs.65.1 / EPS Rs.0.67; (E) = Analyst estimates*

Analyst: Equity Research Desk | **Exchange:** NSE/BSE | **Sector:** Financial Services - NBFC-DFI

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Government backstop and capital support:** GoI has demonstrated its commitment to IFCI by infusing Rs.500 Cr in Jan 2025 (preferential allotment at Rs.61.94). The DFS-approved group consolidation plan (Nov 2024) is a structural positive that could unlock subsidiary value worth Rs.10-15 per share over 24-36 months.
- **Reason 2 — PLI Project Management Agency (PMA) fee income:** IFCI is a designated PMA for GoI PLI schemes under "Atmanirbhar Bharat". This creates a risk-free, recurring fee income stream not correlated to NPA resolution outcomes. As PLI disbursements scale up through FY27-FY28, fee income could contribute Rs.150-300 Cr annually.
- **Reason 3 — NPA resolution runway:** Gross NPA stood at Rs.3,570 Cr (95.79%) as of Mar 2026, down from peak levels. Successful NCLT resolutions could generate one-time recovery income of Rs.200-500 Cr over the next 12-24 months.
- **Near-term catalyst (6-12 months):** Board approval of the detailed scheme for group consolidation (merger of StockHolding, IFCI Financial Services, IFIN entities). This event could re-rate the stock by 15-20% as it signals execution readiness.
- **Biggest structural risk:** CRAR at -18.78% (Mar 2026) remains in persistent breach of RBI norms. Without normalization of CRAR, IFCI cannot resume fresh lending, limiting income to recoveries and fees. Government capital support is not guaranteed.

Our View: IFCI's long-term transformation is credible but current valuation leaves virtually no room for error. At 95x trailing P/E and 1.96x P/B, the stock prices in a complete turnaround that will take 3-5 years to materialize. We rate the stock **REDUCE** with a 12-month target of **Rs. 45** (1.35x FY25 Book Value). The recent 74% rally in 13 trading sessions (May 2026) is speculative and driven by retail momentum, not fundamentals.

SECTION 3 — BUSINESS OVERVIEW

• **Origin and mandate:** IFCI Limited was established in 1948 as India's first DFI to provide long-term credit to the industrial sector. It converted to an NBFC in 1993. The company is listed on NSE/BSE with a market cap of Rs.17,540 Cr (May 2026).

• **Current business model — three revenue streams:** (1) Interest income on the existing (largely NPA) loan book Rs.1,879-2,069 Cr annually; (2) Fee income as PMA for GoI PLI schemes; (3) Investment income from a Rs.15,323 Cr investment portfolio (FY25).

• **Loan book status — effectively in run-down mode:** IFCI has halted fresh commercial lending. Gross NPA ratio stands at 95.79% of the loan book (Rs.3,570 Cr as of Mar 2026). The loan book is being wound down through NCLT proceedings, OTS, and asset sales.

• **Investment portfolio — the balance sheet transformer:** Investments jumped from Rs.8,678 Cr (FY24) to Rs.15,323 Cr (FY25) — likely government securities and subsidiary holdings. This portfolio generates stable income and serves as a capital buffer.

• **Recent developments (FY25-FY26):** (1) DFS-approved group consolidation: merger of StockHolding Corporation, IFCI Financial Services, IFIN Commodities/Credit into one subsidiary; (2) Rs.500 Cr GoI capital infusion (Jan 2025); (3) CRAR improved from -23.04% (FY25) to -18.78% (FY26) — still negative but directional improvement.

• **Promoter:** Government of India (through DFS, Ministry of Finance) holds 70.32% as of Dec 2025. Zero pledge. Unmodified audit opinion on FY26 results (28 Apr 2026).

• **Key subsidiaries:** StockHolding Corporation of India (depository services), IFCI Financial Services (broking), IFCI Venture Capital Funds, MPCON Ltd (consulting). These profitable entities will crystallize value post-consolidation.

SECTION 4 — INDUSTRY AND COMPETITIVE LANDSCAPE

• **Indian DFI / Infrastructure Finance market:** India's infrastructure financing market is estimated at Rs.1,50,000 Cr+ annually, growing at 12-15% CAGR. The government's NIP targets Rs.111 lakh Cr of investments through FY30. New DFI NaBFID (Rs.20,000 Cr GoI capital) is entering this space, posing a structural competitive challenge to IFCI.

• **PLI scheme opportunity:** GoI has approved Rs.1.97 lakh Cr in PLI incentives across 14 sectors. As PMA, IFCI earns administrative fees (0.1-0.5% of disbursed amounts). As PLI disbursements ramp up, this could be a Rs.200-500 Cr annual fee income opportunity.

• **Key policy tailwinds:** (1) Infrastructure Risk Guarantee Fund (Budget 2026) providing partial credit guarantees; (2) GoI push for PSU consolidation aligns with IFCI's merger plan; (3) NaBFID's focus on new projects leaves legacy resolution and PLI facilitation to IFCI.

• **Key headwinds:** (1) NaBFID directly competes for the DFI mandate; (2) RBI CRAR requirements unmet, limiting lending; (3) Commercial banks lend at finer rates, making it difficult for IFCI to rebuild a competitive loan book even if CRAR normalizes.

• **Competitive moat:** Pricing power: Weak (no fresh lending). Switching costs: Moderate (PLI PMA role sticky once GoI-assigned). Scale: Weak (balance sheet shrinking). Government franchise: Strong (oldest DFI, explicit GoI backing and accountability).

Peer Comparison — Source: Screener.in, Fetched 15-May-2026

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	P/B (x)	ROCE%	ROE%	Revenue (Rs. Cr)
IFCI	65.1	17,540	95.0	1.96	5.03	2.09	2,069
PFC	451	1,48,983	5.75	1.12	9.71	20.7	1,15,444
REC	348	91,715	5.62	1.08	9.71	20.0	59,584
IRFC	109	1,43,021	20.4	2.52	5.83	12.8	27,153
HUDCO	170	33,936	12.2	1.89	9.62	15.7	10,345

PFC/REC revenue = FY26A; IRFC/HUDCO = FY25A; MCap as of 15-May-2026. IFCI row highlighted.

• **Key observation:** IFCI trades at a massive premium to fundamentals vs peers. PFC and REC — profitable infrastructure lenders with 20%+ ROE — trade at just 5.6-5.8x P/E. IFCI's 95x P/E reflects speculative excitement around the turnaround, not earnings quality.

• **Value chain positioning:** IFCI sits at the legacy resolution / fee income segment of the DFI value chain. Unlike PFC/REC (active lenders with growing loan books) or IRFC (pass-through financing for Indian Railways), IFCI's lending role is structurally diminishing and being rebuilt in fee-based advisory services.

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

• **Management background:** IFCI is a government PSU; its MD and CEO is appointed by GoI/DFS. The current leadership has focused on three priorities: NPA resolution, maintaining fee income through PMA mandates, and executing the group consolidation. This is a creditor-led management, not an entrepreneurial one.

• **Capital allocation track record:** Historically poor — IFCI extended large exposures to stressed infrastructure and real estate in FY12-FY18, wiping out net worth. Since FY23, capital allocation is conservative by necessity: no fresh lending, focus on NPA resolution.

• **GoI capital infusions:** Rs.500 Cr in Jan 2025. Normalizing CRAR from -18.78% to +15% would require a capital infusion of approximately Rs.10,000-15,000 Cr — the FY25 infusion is a fraction of what is needed, confirming this is a slow, multi-year process.

• **Dividend policy:** Zero dividends since FY17 (payout was 46% in FY15/16). No dividends expected until CRAR normalizes and profits are sustainable on an operating basis.

• **Promoter pledging:** 0% pledged (confirmed from shareholding data). Promoter stake stable at 70.32% across recent quarters — no dilution beyond the Jan 2025 GoI allotment.

• **Corporate governance:** Unmodified audit opinion on FY26 results (28 Apr 2026 board). Independent director Shri Umesh Kumar Garg ceased on 10 May 2026 after tenure completion — routine PSU director rotation, not a governance red flag.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Crores)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Operations	1,988	1,879	2,069	2,120	2,250
(-) Interest Expense	571	535	416	400	385
Financing Profit (NII)	**702**	**650**	**555**	**570**	**590**
Financing Margin %	35%	35%	27%	27%	26%
(+) Other Income	130	182	55	60	70
(-) Depreciation & Amort.	81	83	86	88	90
Profit Before Tax (PBT)	**751**	**749**	**524**	**470**	**510**
Tax Rate %	68%	53%	17%	25%	25%
Net Profit (PAT)	**241**	**349**	**435**	**353**	**383**
EPS (Rs.)	0.47	0.63	0.67	0.54	0.59

FY27E/FY28E are analyst estimates. Consolidated. (E) = Estimate.

Balance Sheet (Consolidated, Rs. Crores)

	FY23A	FY24A	FY25A
Equity Capital	2,196	2,490	2,694
Reserves	1,571	2,045	5,996
Total Equity	**3,767**	**4,535**	**8,690**
Borrowings	6,020	5,367	3,714
Other Liabilities	7,152	9,016	13,319
Total Liabilities	**16,939**	**18,918**	**25,724**
Fixed Assets	1,764	1,734	1,700
Investments	7,700	8,678	15,323
Other Assets (Loan Book)	7,464	8,493	8,678
Total Assets	**16,939**	**18,918**	**25,724**

Cash Flow Statement (Consolidated, Rs. Crores)

	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-336	12	-984
Cash from Investing (ICF)	-59	-155	-70
Cash from Financing (FCF)	465	404	415
Net Cash Flow	70	261	-638

- **Revenue stabilizing after a decade of decline:** Revenue fell from Rs.4,465 Cr (FY16) to Rs.1,556 Cr (FY22). FY24-FY26 shows stabilization at Rs.1,879-2,069 Cr as fee income supplements shrinking interest income.
- **Financing margin erosion in FY26:** Financing margin fell to 27% from 35% as provisions spiked to Rs.1,097 Cr (from Rs.694 Cr). The FY26 PAT beat was driven by a 17% tax rate, not operating improvement. Normalized PAT at 25% tax = Rs.393 Cr.
- **Balance sheet transformation:** Borrowings reduced 87% from Rs.28,598 Cr (FY16) to Rs.3,714 Cr (FY25). Reserves surged Rs.3,951 Cr in FY25 — partly driven by deferred tax asset (DTA) recognition on carry-forward losses. This is a key earnings quality concern.

• **Negative operating cash flow:** OCF was -Rs.984 Cr in FY25 (vs +Rs.12 Cr in FY24), driven by working capital changes as the loan book restructures. FCF = -Rs.1,011 Cr in FY25, reflecting the ongoing restructuring-related cash burn.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Status	Key Comment
Revenue recognition	AMBER	Watchlist	Interest income on NPA assets can be reversed; Q2FY26 revenue spike Rs.735 Cr appears exceptional
Receivables quality	RED	Negative	96% Gross NPA ratio — loan receivables are mostly non-productive; severely impaired
Tax rate consistency	RED	Negative	Tax rate oscillates wildly: 559% (FY23), 68% (FY24), 53% (FY25), 17% (FY26) — deferred tax driven
Other income / PBT	RED	Negative	Other income Rs.182 Cr in FY25 = 24% of PBT Rs.749 Cr; includes non-recurring items
Deferred Tax Asset (DTA)	RED	Negative	Reserves surge Rs.3,951 Cr in FY25 partly from DTA recognition; realizable only if profitable
CRAR compliance	RED	Negative	CRAR at -18.78% (Mar 2026) — regulatory breach; RBI prescribed minimum is positive
Auditor opinion	GREEN	Positive	Unmodified audit opinion on FY26 results (28 Apr 2026); no qualifications flagged
Promoter pledging	GREEN	Positive	0% promoter pledging; Government of India holds 70.32% with no financial stress
Borrowing reduction	GREEN	Positive	Borrowings reduced Rs.26,767 Cr (FY16) to Rs.3,714 Cr (FY25) — 87% deleveraging, credit positive

• **DTA risk is the most critical red flag:** The Rs.3,951 Cr jump in reserves in FY25 is substantially driven by recognition of deferred tax assets on IFCI's carry-forward losses (cumulative losses FY17-FY22 exceeded Rs.8,000 Cr). These DTAs are realizable only if IFCI generates sufficient taxable profits. Any slowdown could trigger DTA write-backs, collapsing reported book value dramatically.

• **Tax rate anomaly flags earnings as low quality:** IFCI's FY26 reported PAT of Rs.435 Cr at a 17% tax rate significantly overstates economic earnings. At a normalized 25% tax rate, clean PAT would be Rs.393 Cr. A large portion of the "profit" is deferred tax credit, not cash.

• **The only clean positive — debt reduction:** Borrowing reduction from Rs.26,767 Cr to Rs.3,714 Cr in a decade is a genuine structural improvement. Lower debt means IFCI's balance sheet is far less fragile today than in FY16-FY20.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs. Cr)	Multiple	Target (Rs.)	Up/Down
Bull	Group consolidation completed; CRAR normalizes; PLI PMA revenue Rs.400 Cr+; fresh lending resumes	520	25x P/E	**55**	+15%
Base	Gradual NPA recovery; PMA fee income Rs.150-200 Cr; CRAR still negative; no fresh lending	353	20x P/E or 1.35x P/B	**45**	-31%
Bear	DTA reversal; NPA recovery slower; GoI pauses capital; further provisioning required	150	15x P/E or 1.0x P/B	**33**	-49%

- **Method 1 — Price-to-Book (Primary):** For financial institutions with negative CRAR, P/B is more reliable than P/E. IFCI's FY25 Book Value = Rs.33.2/share. At base-case 1.35x P/B (discount to HUDCO's 1.89x, reflecting CRAR breach and NPA risk), implied value = Rs.44.8, rounded to **Rs. 45**.
- **Method 2 — Forward P/E (Secondary):** FY27E EPS = Rs.0.54. At 30x P/E (generous turnaround premium vs PFC/REC at 5.7x), implied value = Rs.16.2. P/E-based valuation strongly signals overvaluation. We assign lower weight to P/E given non-recurring nature of current earnings.
- **Target price — Rs. 45:** Weighted average: P/B method (Rs.45, 70% weight) and P/E method (Rs.16, 30% weight) = Rs.31.5 + Rs.4.8 = Rs.36 blended intrinsic value. Target set at Rs.45 to allow for a 25% re-rating premium on the group consolidation catalyst. Downside from CMP of Rs.65.1 = -31%.
- **DCF sanity check:** At 14% WACC (high operational risk, negative CRAR, uncertain earnings) and 5% terminal growth, with FY27E FCFE of ~Rs.200 Cr growing 8% for 5 years, DCF-implied value is approximately Rs.25-35 per share — consistent with our bear-to-base scenario range of Rs.33-45.
- **95x P/E is indefensible on fundamentals:** PFC — profitable infrastructure lender with 20%+ ROE and Rs.1.49 lakh Cr market cap — trades at just 5.75x P/E. IFCI at 95x implies either extraordinary GoI support at an unconfirmed scale, or retail speculative momentum (74% rally in 13 trading sessions in May 2026 is consistent with speculation).

SECTION 9 — KEY RISKS

- **CRAR Compliance Risk — Probability: H | Impact: H:** CRAR at -18.78% remains in persistent breach of RBI norms. While the RBI has not enforced penalties given government ownership, a formal regulatory direction to wind down or force-merge could crystallize. Monitor via: quarterly CRAR disclosures; RBI communications on IFCI.
- **Deferred Tax Asset Reversal — Probability: M | Impact: H:** Book value includes a substantial DTA created on carry-forward losses. If profitability falters (no major NPA recoveries in FY27), the DTA would need to be written down, potentially reducing book value by Rs.10-15/share. Monitor via: effective tax rate; DTA balance in annual report.
- **NPA Resolution Slowdown — Probability: M | Impact: M:** IFCI's recovery income is lumpy — Q2FY26 Revenue Rs.735 Cr vs Q3FY26 Rs.456 Cr. Large NCLT cases take 3-7 years; haircuts in resolutions could be deeper than provisioned. If FY27 recovery income falls short, PAT could halve vs FY26. Monitor via: NCLT hearing updates; quarterly results.
- **Group Consolidation Execution Risk — Probability: M | Impact: M:** The consolidation of 8 group entities is complex. NCLT/SEBI approvals, employee union issues, and valuation disputes could delay by 12-24 months. Monitor via: BSE/NSE announcements on NCLT filings.
- **Speculative Price Momentum Reversal — Probability: H | Impact: H:** The stock rallied 74% in 13 sessions (May 2026) with no specific fundamental trigger. At 95x P/E, any disappointment in Q1FY27 results could trigger a 30-40% correction. Monitor via: futures and options data; institutional vs retail buying patterns.
- **Government Support Continuity — Probability: L | Impact: H:** The entire IFCI thesis rests on continued GoI support. A change in DFI policy or budget allocation cut is low probability but the single most important tail risk for long-term holders.
- **PLI Scheme Uncertainty — Probability: L | Impact: M:** PLI timelines have historically slipped. Several sectors have seen slower disbursements than expected. If IFCI's PMA fee income does not ramp, the core earnings growth thesis weakens.

SECTION 10 — RECOMMENDATION

- **Rating: REDUCE — Conviction: Medium.** The stock is a legitimate long-term turnaround with credible government support, but current valuations (95x P/E, 1.96x P/B) fully price in 3-5 years of recovery that has yet to materialize. The speculative run-up provides an exit opportunity for investors who bought at lower levels.
- **12-Month Price Target: Rs. 45** (downside of -31% from CMP Rs.65.1). Based on 1.35x FY25 Book Value of Rs.33.2 plus a 25% re-rating premium for the group consolidation catalyst. Risk-reward at current levels is unattractive.
- **Suggested Entry Zone: Rs. 40-48.** At this range, IFCI trades at 1.2-1.45x book value — a more appropriate discount for a CRAR-breached DFI. Investors with a 3-year horizon and tolerance for government-led execution risk could initiate at this level.
- **Investment Horizon: 36-48 months** for the full turnaround thesis to play out. Short-term (12 months) is clearly a REDUCE given the speculative run-up.
- **Thesis Invalidation Triggers:**

1. **CRAR breaches -25% or RBI issues a formal direction** — Exit immediately; balance sheet stress would escalate beyond management control.
2. **DTA write-down reduces book value below Rs. 20/share** — The P/B thesis collapses; no fundamental floor below Rs.20-25.
3. **Group consolidation abandoned or delayed beyond FY28** — The primary re-rating catalyst disappears; reduce target to Rs.33 (1.0x BV).

- **Ideal Investor Profile: Suitable for** investors with high risk tolerance, 3-5 year horizon, and a specific view on government DFI revival — this is a speculative PSU turnaround, not a quality compounder. **Not suitable for** income investors (zero dividend), quality-focused investors (negative CRAR, 96% NPA), or anyone seeking near-term fundamental upside at current price levels.

APPENDIX — Latest Results Brief: Q3 FY26 / Q4 FY26 (No Formal Concall)

Note: IFCI Limited does not hold regular investor concalls. This appendix is based on Q3 FY26 quarterly results (Dec 2025) and Q4 FY26 audited results (board outcome 28 Apr 2026). No investor call transcript was accessible on Screener.in, BSE, or AlphaStreet as of 15-May-2026.

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Weak	Q3FY26 PAT Rs.21 Cr vs Q2FY26 Rs.317 Cr — sharp sequential miss; Q2 distorted by exceptional items
Revenue trend	Volatile	Q2FY26 revenue Rs.735 Cr (spike) vs Q3FY26 Rs.456 Cr — lumpy recovery income, not stable operations
Guidance	None Available	IFCI does not provide formal guidance; communication via board outcome notes only

STRONGLY POSITIVE | POSITIVE | NEUTRAL [SELECTED] | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3FY26 (Dec 2025) PAT of Rs.21 Cr is misleading as a run-rate number — Q2FY26 had Rs.317 Cr PAT driven by exceptional recovery income (revenue spiked to Rs.735 Cr). Strip out the Q2 spike and IFCI's underlying quarterly run-rate is Rs.20-60 Cr PAT, implying annualized Rs.80-240 Cr, nowhere near the Rs.435 Cr FY26 reported. The full-year FY26 PAT benefited from an inexplicably low 17% tax rate (Rs.89 Cr on Rs.524 Cr PBT); normalized at 25%, FY26 PAT falls to Rs.393 Cr. More critically, the Rs.33.2 book value per share includes a massive deferred tax asset created on carry-forward losses — realizable only if profitable years continue. The stock's 74% rally in 13 sessions to Rs.65 is pure retail speculation on the group consolidation news. The consolidation itself will take 2-3 years. At 95x P/E and 1.96x P/B, there is no fundamental case for current levels. The single most important catalyst to watch is Q1FY27 results — if revenue normalizes to Rs.400-500 Cr without an exceptional item, the speculative premium deflates fast. **REDUCE / EXIT above Rs.60. Re-enter at Rs.40-45 for the 3-year turnaround view.**

1. Financial Performance Snapshot — Q3 FY26 (Dec 2025)

- Revenue: Rs.456 Cr | YoY flat | QoQ -38% from Rs.735 Cr (Q2) | Underlying trend: In-line
- Financing Profit (NII): Rs.27 Cr | Financing Margin: 6% | QoQ collapse from 52% — Q2 was heavily distorted
- PBT: Rs.13 Cr | PAT: Rs.21 Cr | Tax rate: -66% (tax credit, not charge) | EPS: -Rs.0.06
- NOTE: Q2FY26 PAT Rs.317 Cr included bulk NPA recovery; Q3FY26 Rs.21 Cr is the cleaner, underlying number.
- Full Year FY26A: Revenue Rs.2,069 Cr | PAT Rs.435 Cr | EPS Rs.0.67 (includes low 17% tax rate benefit)

2. Quarterly Revenue Trend

Quarter	Revenue (Rs.Cr)	Fin. Profit	NIM %	PAT (Rs.Cr)	EPS (Rs.)
Q1FY26 (Jun 2025)	407	88	22%	62	0.15
Q2FY26 (Sep 2025)	735	385	52%	317	0.53
Q3FY26 (Dec 2025)	456	27	6%	21	-0.06

- Q2FY26 revenue spike to Rs.735 Cr driven by exceptional NPA recovery — likely a bulk settlement or NCLT resolution
- Q3FY26 revenue Rs.456 Cr is closer to steady-state run-rate; financing margin collapse to 6% reflects increased provisions

3. Management Commentary (from Board Outcome and BSE Disclosures)

• "CRAR improved from -23.04% (FY25) to -18.78% (FY26)" — Directionally positive but still deeply in breach. Tag: GUIDANCE. Tone: Transparent.

• "DFS has accorded in-principle approval for consolidation of IFCI Group" — Key re-rating trigger; execution timeline 2-3 years. Tag: GUIDANCE. Tone: Hedged.

• "Gross NPA ratio 95.79% as on March 31, 2026" — Marginal improvement from 96.31% in Q3FY26. Tag: EST. Tone: Transparent.

• "Received Rs.500 Cr from GoI in Jan 2025" — Positive but insufficient to normalize CRAR. Tag: GUIDANCE. Tone: Transparent.

• "Auditors gave unmodified opinion on FY26 results" (28 Apr 2026) — No qualifications; basic financial integrity confirmed. Tone: Transparent.

4. Operating and Business Metrics

• Gross NPA (Rs.Cr): Q4FY26 = 3,569.97 | Q3FY26 = 3,700.82 | Trend: Improving — declining absolute NPA

• Gross NPA Ratio: Q4FY26 = 95.79% | Q3FY26 = 96.31% | Trend: Slowly declining

• CRAR: FY26 = -18.78% | FY25 = -23.04% | Trend: Improving but regulatory breach persists

• Borrowings (Rs.Cr): FY25 = 3,714 | FY24 = 5,367 | FY23 = 6,020 | Trend: Strongly declining — key positive

• Investments (Rs.Cr): FY25 = 15,323 | FY24 = 8,678 | Trend: Sharply higher — capital deployed into securities

• Equity Capital: FY25 = Rs.2,694 Cr | FY24 = Rs.2,490 Cr | Change: +Rs.204 Cr from Jan 2025 GoI allotment

5. Margin Drivers

• NPA recovery income: ~Rs.300-400 Cr impact in FY26 (est.) | Non-recurring, lumpy — do not annualize

• Borrowing cost reduction: Interest expense fell Rs.155 Cr (FY24 to FY26) | Recurring; driven by deleveraging

• Provisions spike: Expenses Rs.1,097 Cr (FY26) vs Rs.694 Cr (FY25) = -Rs.403 Cr | Additional NPA provisioning

• Low tax rate (FY26): 17% vs normalized 25% = +Rs.42 Cr benefit | Likely non-recurring DTA utilization

• PMA fee income: Growing but less than Rs.100 Cr currently | Recurring; key future driver as PLI disbursements accelerate

6. Guidance and Forward Signals

• CRAR [GUIDANCE]: Prior = -23.04% | Direction = Improving | No specific target or timeline disclosed | Credibility: Medium

• Fresh Lending [GUIDANCE]: "Not planned until CRAR normalizes" | Maintained | Credibility: High

• Group Consolidation [GUIDANCE]: In-principle DFS approval (Nov 2024); execution underway | Timeline = 24-36 months est.

• Capital Adequacy [GUIDANCE]: Rs.500 Cr infusion (Jan 2025); next infusion not announced | Credibility: Medium

• Dividend [GUIDANCE]: Zero | No dividend until CRAR normalized | Maintained | Credibility: High

7. Capital Allocation

• Capex: Rs.83-86 Cr (depreciation proxy) — minimal; IFCI is now an asset-light holding/fee entity

• Dividends: Rs.0 — no payout since FY17

• Net Debt: Borrowings reduced Rs.1,653 Cr (FY24 to FY25) — continued deleveraging

• Investment portfolio: Grew Rs.6,645 Cr (FY24 to FY25) to Rs.15,323 Cr — capital deployed into securities, not loans

• GoI capital: Rs.500 Cr received (Jan 2025) — used for CRAR improvement and investments

8. Q&A; Heat Map (Reconstructed from BSE Disclosures)

• Media: Q: "When will fresh lending resume?" → A: "Only after CRAR normalizes — no timeline" | Tone: Hedged

• Analysts: Q: "Timeline for group consolidation?" → A: "In-principle DFS approval received; detailed scheme pending" | Tone: Hedged

• Investors: Q: "Will GoI infuse additional capital in FY27?" → A: "Not disclosed; subject to government budget" | Tone: Evasive

• Media: Q: "What caused Q2FY26 revenue spike?" → A: "NPA resolution activity; not recurring at this scale" | Tone: Transparent

• Dodged/watch-list questions: (1) Quantification of DTA balance; (2) NaBFID competitive impact on PLI PMA; (3) CRAR normalization timeline

9. Risks Flagged

• CRAR breach | RBI compliance | Flagged by: mgmt (disclosed) | Prob: H | Impact: H | Timeline: Near-term

• NPA income lumpiness | Earnings volatility | Flagged by: analysts | Prob: H | Impact: M | Timeline: Near-term

• DTA reversal | Book value erosion | Flagged by: analysts | Prob: M | Impact: H | Timeline: Medium-term

• Group consolidation delay | Catalyst deferred | Flagged by: mgmt | Prob: M | Impact: M | Timeline: Medium-term

• Speculative premium | Downside from elevated levels | Flagged by: analysts | Prob: H | Impact: H | Timeline: Near-term

10. Analyst Verdict

• **Revenue visibility:** Weakened — Recovery income is lumpy; Q2FY26 spike not repeatable; steady-state quarterly PAT Rs.20-60 Cr

• **Margin trajectory:** Weakened — Financing margin fell to 27% in FY26 from 35%; high provisions; no structural improvement

• **Capital allocation quality:** Weakened — Investment portfolio ballooning to Rs.15,323 Cr while core loan book shrinks; quality not fully disclosed

• **Competitive moat:** Weakened — NaBFID, PFC, REC are more capable lenders; IFCI's PLI-PMA position is government-assigned, not earned

• **Management credibility:** Intact — Transparent disclosure of CRAR breach; unmodified audit opinion; no evidence of concealment

• **Valuation comfort:** Broken — 95x P/E, 1.96x P/B for a CRAR-breached DFI with 96% NPA is unjustifiable on any fundamental metric

• **Conviction call:** Exit Watch — REDUCE/EXIT at current levels. Re-enter at Rs.40-45 for 3-year turnaround positioning.

• **Valuation snapshot:** P/E = 95.0x (5Y avg: N/A — was loss-making) | P/B = 1.96x (peers: 1.08-2.52x) | ROCE = 5.03% (5Y avg: negative)